BARCLAYS BANK OF KENYA LIMITED FINANCIAL STATEMENTS

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the Audited Group results for the year ended 31 December 2016

		Bank		Group	
		December 2015 Shs '000	December 2016 Shs '000	December 2015 Shs '000	December 2016 Shs '000
I	STATEMENT OF FINANCIAL POSITION	Audited	Audited	Audited	Audited
A	ASSETS				
1	Cash balances (both local and foreign)	6,126,056	5,033,498	6,126,056	5,033,498
2	Balances due from Central Bank of Kenya	12,054,439	8,344,546	12,054,439	8,344,546
3	Kenya Government and other securities held for dealing purposes	2,245,258	7,345,499	2,245,258	7,345,499
4	Financial Assets at fair value through profit and loss	-	-	-	-
a)	Investment Securities:	-	-	-	-
	Held to Maturity:	-	-	-	-
	a. Kenya Government securities	-	-	-	-
	b. Other securities	-	-	-	-
b)	Available for sale:	45,805,987	48,698,795	45,805,987	48,698,795
	a. Kenya Government securities	45,347,437	48,698,795	45,347,437	48,698,795
	b. Other securities	458,550	-	458,550	-
6	Deposits and balances due from local banking Institutions	-	-	-	-
7	Deposits and balances due from banking Institutions abroad	252,867	218,530	252,867	218,530
8	Tax recoverable	134,397	-	134,397	23,743
9	Loans and advances to customers (net)	145,378,553	168,509,529	145,378,553	168,509,529
10	Balances due from banking institutions in the group	13,951,455	5,568,202	13,951,455	5,971,491
11	Investment in Associates	-	-	-	-
12	Investment in Subsidiary Companies	275,678	262,512	-	-
13	Investment in joint Ventures	-	-	-	-
14	Investment properties	-	-	-	-
15	Property and equipment	3,324,019	3,080,831	3,324,019	3,080,831
16	Prepaid Operating Rental Leases	56,329	55,329	56,329	55,329
17	Intangible assets	1,987,740	1,567,256	1,987,740	1,592,256
18	Deferred Tax	474,685	614,632	474,685	618,889
19	Retirement Benefit Asset	255,600	65,328	255,600	65,328
20	Other assets	8,829,634	10,133,736	8,829,635	10,133,748
21	TOTAL ASSET	241,152,697	259,498,223	240,877,020	259,692,012
B	LIABILITIES				
22	Balances due to Central Bank	-	-	-	-
23	Customers' deposits	165,358,507	178,447,777	165,082,830	178,179,795
24	Deposits and balances due to Banking institutions (Local)	-	3,000,000	-	3,000,000
25	Deposits and balances due to Banking institutions (Foreign)	187,385	263,679	187,385	263,679
26	Other money market deposits	-	-	-	-
27	Borrowed Funds	-	-	-	-
28	Balances due to banking institutions in the group	27,816,476	24,895,103	27,816,476	24,895,103
29	Tax payable	-	375,119	-	504,047
30	Dividends payable	-	-	-	-
31	Deferred tax liability	-	-	-	-
32	Retirement Benefit Liability	-	-	-	-
33	Other liabilities	8,073,958	10,421,835	8,073,958	10,461,146
34	TOTAL LIABILITIES	201,436,326	217,403,513	201,160,649	217,303,770
C	SHAREHOLDERS' FUNDS				
35	Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-
37	Revaluation reserves	(962,307)	(152,158)	(962,307)	(152,158)
38	Retained earnings / (Accumulated losses)	32,468,100	34,901,321	32,468,100	35,194,853
39	Statutory loan loss reserve	926,927	-	926,927	-
40	Other reserves	222,654	284,550	222,654	284,550
41	Proposed dividend	4,345,229	4,345,229	4,345,229	4,345,229
42	Capital Grants	-	-	-	-
43	TOTAL SHAREHOLDERS' FUND	39,716,371	42,094,710	39,716,371	42,388,242
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUND	241,152,697	259,498,223	240,877,020	259,692,012
II	STATEMENT OF COMPREHENSIVE INCOME				
1	INTEREST INCOME				
1.1	Loans and advances to customers	18,839,544	20,617,217	18,839,544	20,617,217
1.2	Government securities	5,140,534	5,587,158	5,140,534	5,587,158
1.3	Deposits and placements with banking institutions	103,354	151,130	103,354	151,130
1.4	Other interest income	1,202,316	1,765,684	1,202,316	1,765,684
1.5	Total interest income	25,285,748	28,121,189	25,285,748	28,121,189
2	INTEREST EXPENSES				
2.1	Customer deposits	4,275,161	4,551,312	4,275,161	4,551,312
2.2	Deposits and placements with banking institutions	554,602	589,048	554,602	589,048
2.3	Other interest expenses	45,464	646,598	45,464	646,598
2.4	Total interest expenses	4,875,227	5,786,958	4,875,227	5,786,958
3	NET INTEREST INCOME	20,410,521	22,334,231	20,410,521	22,334,231
4	NON - OPERATING INCOME				
4.1	Fees and commissions income on loans & Advances	1,563,814	958,951	1,563,814	958,951
4.2	Other fees and commissions	5,086,219	4,318,678	5,086,219	4,811,540
4.3	Foreign exchange trading income	2,033,747	2,620,337	2,033,747	2,620,337
4.4	Dividend income	-	-	-	-
4.5	Other income	367,459	959,053	367,459	959,053
4.6	Total non-interest income	9,051,239	8,857,019	9,051,239	9,349,881
5	Total Operating Income	29,461,760	31,191,250	29,461,760	31,684,112
6	OPERATING EXPENSES				
6.1	Loan loss provision	1,765,778	3,927,137	1,765,778	3,927,137
6.2	Staff costs	9,305,169	9,661,728	9,305,169	9,729,330
6.3	Directors emoluments	21,625	107,859	21,625	107,859
6.4	Rental charge	1,202,064	1,307,165	1,202,064	1,309,268
6.5	Depreciation on property and equipment	486,871	664,921	486,871	664,921
6.6	Amortisation charges	566,765	526,244	566,765	526,244
6.7	Other operating expenses	4,039,908	4,556,510	4,039,908	4,566,946
7	Total operating expenses	17,388,180	20,751,564	17,388,180	20,831,705
	Profit before tax and exceptional items	12,073,580	10,439,686	12,073,580	10,852,407
8	Exceptional items	-	-	-	-
9	Profit after exceptional items	12,073,580	10,439,686	12,073,580	10,852,407
10	Current tax	(3,612,757)	(3,663,466)	(3,612,757)	(3,792,394)
11	Deferred tax	(60,241)	335,126	(60,241)	339,383
12	Profit after tax and exceptional items	8,400,582	7,111,346	8,400,582	7,399,396
13	OTHER COMPREHENSIVE INCOME				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	(935,013)	1,157,356	(935,013)	1,157,356
13.3	Revaluation surplus on Property,plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	280,504	(347,207)	280,504	(347,207)
14	Other Comprehensive Income for the year net of tax	(654,509)	810,149	(654,509)	810,149
15	Total comprehensive income for the year	7,746,073	7,921,495	7,746,073	8,209,545
	Earnings per Share (Shs)	1.55	1.31	1.55	1.36
	Dividends per share (Shs)	1.00	1.00	1.00	1.00

		Bank	
		December 2015 Shs '000	December 2016 Shs '000
III	OTHER DISCLOSURES	Audited	Audited
1)	Non-performing loans and advances		
a)	Gross non-performing loans and advances	5,336,166	11,472,301
b)	Less: Interest in suspense	1,454,488	2,689,552
c)	Total non performing loans and advances	3,881,678	8,782,749
d)	less: loan loss provisions	2,012,924	5,149,446
e)	Net non performing loans(c-d)	1,868,754	3,633,303
f)	Discounted value of securities	811,108	1,786,209
g)	Net NPLs (Excess) / Exposure (e-f)	1,057,646	1,847,094
2)	Insider loans and advances		
a)	Directors ,shareholders and associates	48,868	46,887
b)	Employees	13,409,431	13,013,190
c)	Total insider loans and advances	13,458,299	13,060,077
3)	Off Balance sheet items		
a)	Letters of credit ,guarantees, acceptances	33,353,230	29,277,167
b)	Forwards, swaps and options	23,117,586	12,553,578
c)	Other contingent liabilities	4,662,700	-
	Total Contingent liabilities	61,133,516	41,830,745
4)	Capital Strength		
a)	Core capital	35,183,868	37,617,089
b)	Minimum statutory capital	1,000,000	1,000,000
c)	Excess / (Deficiency)	34,183,868	36,617,089
d)	Supplementary capital	6,037,786	5,128,461
e)	Total capital	41,221,654	42,745,550
f)	Total risk weighted assets	224,120,795	239,299,450
g)	Core capital / total deposit liabilities	21.3%	21.1%
h)	Minimum statutory ratio	8.0%	8.0%
i)	Excess / (Deficiency)	13.3%	13.1%
j)	Core capital / total risk weighted assets	15.7%	15.7%
k)	Minimum statutory ratio	10.5%	10.5%
l)	Excess / (Deficiency)	5.2%	5.2%
m)	Total capital / total risk weighted assets	18.4%	17.9%
n)	Minimum statutory ratio	14.5%	14.5%
o)	Excess / (Deficiency)	3.9%	3.4%
5	Liquidity		
a)	Liquidity ratio	34.1%	28.3%
b)	Minimum statutory ratio	20.0%	20.0%
c)	Excess / (Deficiency)	14.1%	8.3%

Message from the Directors:

The Directors note that an interim dividend of Shs 0.20 per ordinary share of the Company was paid on October 7, 2016. As such, subject to the approval of the shareholders, the Directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Shs 0.80 per ordinary share of the Company to be paid on or about April 28, 2017 to shareholders registered at the close of business on March 30, 2017.

The above consolidated income statement and consolidated statement of financial position are extracts from the Bank's financial statements. The financial statements have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at The West End Building, Waiyaki Way and online at www.barclays.co.ke for inspection after approval at the Annual General Meeting to be held on April 28, 2017.

The financial statements were approved by the Board of Directors on February 22, 2017 and signed on its behalf by:

Jeremy Awori
Managing Director

Charles Muchene
Chairman

Yusuf Omari
Chief Financial Officer

Paul Ndungi
Company Secretary

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